

AFTER THE WINDFALL

vid vaccine demand, SII has reinvested the windfall profits of FY22 that it earned from the Covishield vaccine. Nearly 80% of the investment has gone into advancing vaccine research and clinical trials. SII is operating at half its capacity, so it has switched focus towards vaccines with “growing demand”, such as those for malaria and cervical cancer.

It's not just SII. While Bharat Biotech International Ltd (BBIL), the company behind Covaxin and a competitor to Covishield, is looking at other vaccines, it has been working on vaccine programmes for diseases such as cholera, malaria, chikungunya, Zika, paratyphi A, non-typhoidal salmonella, and tuberculosis. In March, the company also forayed into Cell & Gene Therapy (CGT) and viral vector production, it said in a statement.

Similarly, Dr. Reddy's Laboratories, which partnered with the Russian Direct Investment Fund to introduce the Sputnik V vaccine, has significantly diversified beyond its core generics business. In March 2024, it entered an exclusive partnership with Sanofi Healthcare India to promote and distribute Sanofi's paediatric and adult vaccine brands in India.

“In the last few years, we have boosted our vaccine portfolio and with the Sanofi partnership we are the second-largest player in India. Our aspiration is to become number one,” says M.V. Ramana, CEO, Branded Markets (India and Emerging Markets), Dr. Reddy's.

There's definitely potential for other vaccines. The global vaccine market, pegged at around \$46 billion, is expected to reach around \$70 billion by 2028.

This is especially true of developing countries, says Suresh Subramanian, National Lifesciences

► **SII MADE SIGNIFICANT PROFITS DURING THE PANDEMIC AND HAS REINVESTED 80% OF THE PROCEEDS INTO R&D**

► **POONAWALLA AIMS TO DOUBLE SII'S TURNOVER IN FIVE-SIX YEARS BY LAUNCHING NOVEL VACCINES**

► **HE IS ALSO LOOKING TO INCREASE THE FIRM'S PRESENCE IN HIGH-VALUE REGIONS LIKE THE US AND EUROPE**

► **SII HAS LAUNCHED CERVAVAC, INDIA'S FIRST INDIGENOUSLY DEVELOPED HPV VACCINE, AND IS RAMPING UP PRODUCTION TO 100 MILLION DOSES ANNUALLY BY 2026, BASED ON DEMAND**

► **IT IS THE LICENSED MANUFACTURER OF A NEW MALARIA VACCINE CO-DEVELOPED WITH OXFORD UNIVERSITY**

► **THE COMPANY HAS PARTNERED WITH PRIMROSE BIO TO ACCELERATE THE DEVELOPMENT OF A MULTI-PATHOGEN VACCINE PLATFORM**

► **SII IS ALSO DIVERSIFYING INTO DIAGNOSTICS THROUGH MYLAB DISCOVERY SOLUTIONS, WITH A FOCUS ON RAPID TESTING KITS FOR DIABETES AND INFECTIOUS DISEASES**

Leader at EY Parthenon India. The industry is shifting toward long-term strategies, such as routine immunisations and next-generation vaccines, and research and development is key.

However, Vishal Manchanda, Senior Vice President of Institutional Research at investment advisory firm Systematrix, sees challenges ahead for SII. He points out that the company has always been one of the most profitable pharmaceutical firms, and Covid-19 accelerated its success. But investing the windfall may prove challenging.

NEW OPPORTUNITIES

Among the opportunities that have presented themselves to vaccine makers, India's vaccination programme aimed at preventing cervical cancer is among the biggest.

Such programmes are helping vaccine makers get back to vaccine development. SII launched Cervavac, India's first indigenous quadrivalent, gender-neutral HPV vaccine, in January 2023, aiming to combat cervical cancer.

Though small quantities of the HPV vaccine have been launched in the private market—about one or two million doses—Poonawalla anticipates much larger volumes this year. He is aiming to bring out one or two new vaccines each year to fuel growth as he looks to double the company's turnover within the next five to six years.

GOING GLOBAL

One potential solution to boost revenues is the expansion in high-value markets such as Europe and the US. “We see ourselves as a global player now,” says Poonawalla. Indeed, the price differential is quite significant. The R21/Matrix-M Malaria vaccine, priced at an estimated \$2-4 in low-income countries

